Team Cognivolve

Project: ClauseIQ

18th March 2026

Problem Statement

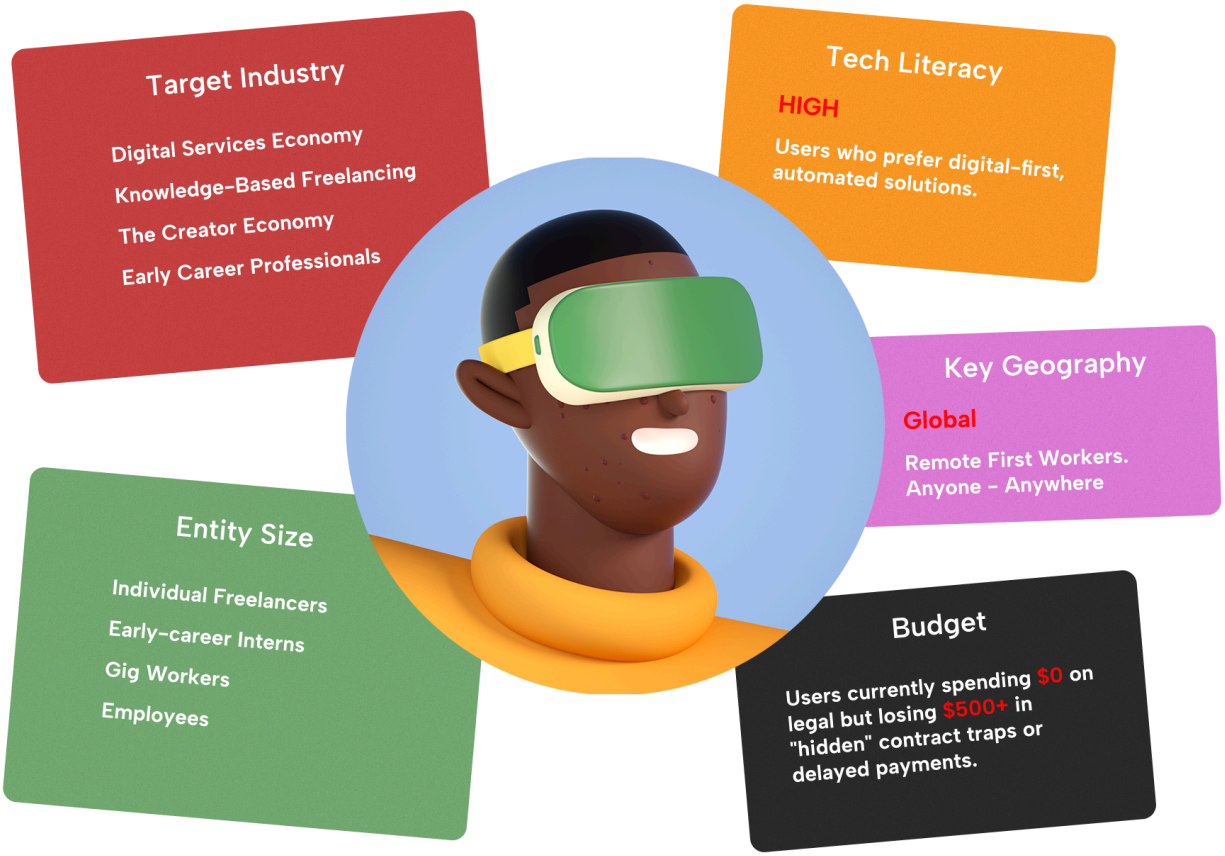
Independent professionals(freelancers, gig workers, employees) currently face a dangerous 'blind spot': they must either sign complex, predatory contracts they cannot afford to legally review, or risk massive privacy breaches by feeding sensitive, confidential agreements into cloud-based AI.

Problem Description

1. **Problem Context:** Legal documents are intentionally written in complex "legalese" that requires professional expertise to decode. Most independent workers cannot afford legal counsel for every small contract and instead "sign and pray," hoping there are no hidden traps.
2. **Target Customers & Pain Points:** Our typical customers are **freelance developers, designers, gig workers, employees and student interns**. They feel this is a major problem because a single bad clause—such as a 5-year non-compete or a 120-day payment delay—can effectively end their career or cause immediate financial instability.
3. **Solution Validation & Willingness to Pay:** During interviews, users acknowledged that a tool allowing them to "scan for red flags" instantly would save them hours of anxiety. They expressed a readiness to pay for a "Privacy-First" solution because they are legally forbidden from uploading confidential contracts to public cloud AI tools like ChatGPT.

   References: Please refer to the **'Do you actually read contracts?'** survey data.

Ideal Customer Profile:



Customer Persona

Core Identity

- **Name:** Rahul Sharma, 24
- **Profile:** Software Engineer (Fresher)
- **Stack:** React, Node.js, Python

1. Aspirations

- **Global Reach:** Secure high-value international contracts.
- **Asset Protection:** Retain 100% ownership of side-project IP.
- **Fair Terms:** Guarantee Net-15 payment cycles.

2. Pain Points

- **Jargon Barrier:** Overwhelmed by dense, "legalese" terminology.
- **Fear of Conflict:** Afraid that questioning terms will rescind the offer.
- **Hidden Risks:** Vulnerable to uncapped liability and predatory clauses.

3. Contract Habits

- **Selective Reading:** Skims only for "Compensation" and "Timeline."
- **Blind Spots:** Consistently skips "Indemnity" and "IP" sections.
- **Sign & Pray:** Prioritizes onboarding speed over legal safety.

4. ClauseIQ Motivation

- **Expert Ally:** Needs a "silent partner" for objective legal sanity checks.
- **Efficiency:** Demands instant, automated "Red Flag" alerts.
- **Privacy First:** Requires zero-data-leakage (on-device) processing.